



BUSINESS ASSOCIATE AGREEMENT

HIPAA Business Associate Agreement

This Business Associate Agreement (the "Agreement") is entered into as of _____ (the "Effective Date") by and between **One Smarter, Inc.**, a corporation with its principal place of business in Dayton, Ohio (the "Business Associate"), and _____, with its principal place of business at _____ (the "Covered Entity"). The Business Associate and the Covered Entity may each be referred to individually as a "Party" and collectively as the "Parties".

WHEREAS, the Covered Entity wishes to engage the Business Associate to perform certain services involving information technology consulting, software development, and related professional services (the "Services"), and in connection with the Services the Business Associate may create, receive, maintain, or transmit Protected Health Information on behalf of the Covered Entity; and WHEREAS, the Parties intend to comply with the Health Insurance Portability and Accountability Act of 1996 ("HIPAA"), the Health Information Technology for Economic and Clinical Health Act ("HITECH"), and their implementing regulations at 45 C.F.R. Parts 160 and 164 (collectively, the "HIPAA Rules"); NOW, THEREFORE, in consideration of the mutual covenants contained herein, the Parties agree as follows:

1. Definitions

Capitalized terms used but not otherwise defined in this Agreement shall have the meanings given to them in the HIPAA Rules, including without limitation: "Breach", "Data Aggregation", "Designated Record Set", "Disclosure", "Electronic Protected Health Information" ("ePHI"), "Individual", "Minimum Necessary", "Notice of Privacy Practices", "Required by Law", "Secretary", "Security Incident", "Subcontractor", "Unsecured Protected Health Information", and "Use". "Protected Health Information" or "PHI" means Protected Health Information as defined in 45 C.F.R. § 160.103, limited to the information created, received, maintained, or transmitted by the Business Associate from or on behalf of the Covered Entity.

2. Permitted Uses and Disclosures

The Business Associate may Use or Disclose PHI only as necessary to perform the Services, as Required by Law, or as otherwise permitted by this Agreement. The Business Associate may Use PHI for its proper management and administration or to carry out its legal responsibilities, and may Disclose PHI for such purposes provided the Disclosure is Required by Law or the Business Associate obtains reasonable assurances from the recipient that the PHI will be held confidentially, Used or further Disclosed only as Required by Law or for the purposes for which it was disclosed, and that the recipient will notify the Business Associate of any instance of which it becomes aware in which the confidentiality of the PHI has been breached. The Business Associate shall not Use or Disclose PHI in a manner that would violate Subpart E of 45 C.F.R. Part 164 if done by the Covered Entity, and shall apply the



Minimum Necessary standard to all Uses, Disclosures, and requests for PHI.

3. Obligations of the Business Associate

The Business Associate shall: (a) implement administrative, physical, and technical safeguards that reasonably and appropriately protect the confidentiality, integrity, and availability of PHI, including compliance with Subpart C of 45 C.F.R. Part 164 with respect to ePHI; (b) report to the Covered Entity any Use or Disclosure of PHI not permitted by this Agreement, and any Security Incident, of which it becomes aware; (c) ensure that any Subcontractor that creates, receives, maintains, or transmits PHI on behalf of the Business Associate agrees in writing to restrictions and conditions at least as protective as those that apply to the Business Associate under this Agreement; (d) make available PHI in a Designated Record Set to the Covered Entity, or to an Individual as directed by the Covered Entity, as necessary to satisfy the Covered Entity's obligations under 45 C.F.R. § 164.524; (e) make any amendment to PHI in a Designated Record Set as directed or agreed by the Covered Entity pursuant to 45 C.F.R. § 164.526; (f) maintain and make available the information required to provide an accounting of Disclosures as necessary to satisfy the Covered Entity's obligations under 45 C.F.R. § 164.528; and (g) make its internal practices, books, and records relating to the Use and Disclosure of PHI available to the Secretary for purposes of determining compliance with the HIPAA Rules.

4. Breach Notification

The Business Associate shall notify the Covered Entity in writing without unreasonable delay, and in no event later than thirty (30) days, after discovery of a Breach of Unsecured Protected Health Information. Such notice shall include, to the extent known: the identification of each Individual whose Unsecured PHI has been, or is reasonably believed to have been, accessed, acquired, Used, or Disclosed; a description of the nature of the Breach; the date of the Breach and the date of its discovery; and the steps the Business Associate has taken or will take to investigate, mitigate harm, and protect against further Breaches. The Business Associate shall cooperate with the Covered Entity in meeting the Covered Entity's notification obligations under 45 C.F.R. Part 164, Subpart D.

5. Obligations of the Covered Entity

The Covered Entity shall: (a) notify the Business Associate of any limitation in its Notice of Privacy Practices, any changes in or revocation of permission by an Individual to Use or Disclose PHI, and any restriction on the Use or Disclosure of PHI that the Covered Entity has agreed to or is required to abide by, in each case to the extent such limitation, change, revocation, or restriction may affect the Business Associate's Use or Disclosure of PHI; and (b) not request the Business Associate to Use or Disclose PHI in any manner that would not be permissible under the HIPAA Rules if done by the Covered Entity, except as permitted under Section 2 of this Agreement.

6. Term and Termination

This Agreement shall commence on the Effective Date and remain in effect until the later of the termination of the Services or the return or destruction of all PHI as provided in Section 7. Either Party



may terminate this Agreement upon thirty (30) days' written notice. The Covered Entity may terminate this Agreement immediately upon written notice if the Business Associate has materially breached this Agreement and has failed to cure the breach within thirty (30) days of receiving written notice of it.

7. Return or Destruction of PHI

Upon termination of this Agreement for any reason, the Business Associate shall return or destroy all PHI, including all copies, notes, and derivatives thereof, and shall certify such return or destruction in writing upon request. If return or destruction is infeasible, the Business Associate shall notify the Covered Entity of the conditions that make it infeasible, extend the protections of this Agreement to such PHI, and limit further Uses and Disclosures to those purposes that make the return or destruction infeasible, for so long as the Business Associate maintains such PHI.

8. Remedies

Each Party acknowledges that unauthorized Use or Disclosure of PHI may cause irreparable harm for which monetary damages would be an inadequate remedy. Accordingly, the Covered Entity shall be entitled to seek injunctive or other equitable relief, in addition to any other remedies available at law or in equity.

9. Governing Law

This Agreement shall be governed by and construed in accordance with the laws of the State of Ohio, without regard to its conflict of laws principles, except to the extent preempted by the HIPAA Rules or other federal law. The Parties consent to the exclusive jurisdiction of the state and federal courts located in Montgomery County, Ohio.

10. General Provisions

This Agreement constitutes the entire agreement between the Parties concerning its subject matter and supersedes all prior discussions and agreements relating thereto. Any ambiguity in this Agreement shall be interpreted to permit compliance with the HIPAA Rules, and a reference to a section of the HIPAA Rules means the section as in effect or as amended. No amendment shall be effective unless in writing and signed by both Parties; the Parties agree to amend this Agreement as necessary to comply with changes in the HIPAA Rules. Neither Party may assign this Agreement without the prior written consent of the other Party. If any provision is held unenforceable, the remaining provisions shall remain in full force and effect. This Agreement may be executed in counterparts, each of which shall be deemed an original.



IN WITNESS WHEREOF, the Parties have executed this Agreement as of the date first written above.

Date of Agreement: _____

X

One Smarter, Inc.

X

